BRUMBAUGH v. APPALOOSA ROAD CSD

21CV45171

CONTINUED HEARING ON DEFENDANT'S DEMURRER TO THIRD AMENDED PETITION

This is an administrative writ of mandate alleging "Brown Act" violations relating to the imposition of a *de minimus* real property parcel tax increase. Before the Court this day is a defense demurrer to the operative Third Amended Petition. Contrary to moving party's insinuation (see Reply Brief 2:27-3:5), this Court has only addressed the legal sufficiency of petitioner's claim one time (see Minute Order dated 07/02/21), and at that time found "a reasonably possibility that Petitioner can state a good cause of action." However, since that time, an interesting wrinkle has come to light necessitating further briefing.

On 05/07/19, 82% of the qualified electorate approved *Appaloosa Road Community Services District Measure B*, which increased the annual parcel tax in the Appaloosa Zone from $75 to $175. The ballot itself identified the following streets as part of the Appaloosa Zone: Appaloosa Road, Chestnut Court, Chestnut Way, Dunn Road, Filly Road, Hunter Road, Paint Road, Shetland Road and Welsh Road. For reasons not entirely clear, the ballot failed to mention Pinto Road or Morgan Road, both of which are in the Appaloosa Zone.

On 05/04/21, 88% of the qualified electorate approved *Appaloosa Road Community Services District Measure D*, which applied the same $100 increase to Pinto Road and Morgan Road – thereby specifically and equally encumbering every parcel in the Appaloosa Zone.

Petitioner herein contends that the Appaloosa Road Community Services District Board of Directors violated due process provisions regarding notice and access when vetting the decision and resolution to put Measure D on the ballot, but the Board's conduct seems harmless if the issue was properly presented to the public. Petitioner must show prejudice from an alleged Brown Act violation. Does petitioner allege anything amiss or untoward regarding the election process itself? Were the voters actively misled by something the Board did? If not, it seems the matter may now be moot. A case becomes moot when a court ruling can have no practical impact or cannot provide the parties with effective relief. (*In re Stephon L.* (2010) 181 Cal.App.4th 1227, 1231; *Corrales v. Bradstreet* (2007) 153 Cal.App.4th 33, 46-47.) Cases or controversies which have been rendered moot are subject to dismissal because courts generally decide only "actual" or justiciable controversies, that is, cases in which effective relief can be granted, and do not render advisory opinions. (*Ebensteiner Co., Inc. v. Chadmar Group* (2006) 143 Cal.App.4th 1174, 1178–1179. See *Julian Volunteer Fire Co. Assn. v. Julian-Cuyamaca Fire Protection Dist.* (2021) 62 Cal.App.5th 583, 603-604 [Brown Act violation moot by virtue of public election on same issue]; *TransparentGov Novato v. City of Novato* (2019) 34 Cal.App.5th 140, 149-153 [Brown Act violation moot]; *City of Palo Alto v. Public Employment Relations Bd.* (2016) 65 Cal.App.5th 1271, 1320 [Brown Act violation not moot].)

The parties were invited to file supplemental briefing on the question of mootness. Defendant took the invitation too far, revisiting the argument that plaintiff failed to state a claim. Plaintiff asked this Court to consider new authority, *Silva v. Humbolt County* (2021) 62 Cal.App.5th 928, and a re-envisioned pleading focused entirely on the legality of the tax (as opposed to a Brown Act violation). *Silva* is unavailing, for in that case the issue involved subsequent amendments to a voter-approved measure and post hoc efforts to moot the issue by reversing direction on some, but not all, of the amendments. The ultimate issue still remained in *Silva*, which is why that effort was not moot. As for plaintiff's new theory that collection of an unlawful special tax is not moot because it recurs, while that is a true statement it nonetheless is irrelevant to the question of alleged Brown Act violations. The Brown Act violation – if one occurred – is moot after the passage by way of a public vote. Whether the resulting tax is illegal can certainly be tested in a legal proceeding, but there is no room in the case at bar.

Demurrer SUSTAINED, Without leave to amend, but without prejudice to any possible future lawsuit limited to the question of the constitutionality of the voter-approved tax.

The Clerk shall provide notice of this Ruling to the parties forthwith. Defendant to prepare a formal Order pursuant to Rule of Court 3.1312 in conformity with this ruling, and a proposed Judgment thereon.

VALLES v. TRICORP GROUP, INC.

21CV45611

PLAINTIFF'S APPLICATION FOR PRELIMINARY APPROVAL OF CLASS ACTION SETTLEMENT

This is a putative class action, seeking redress for alleged wage/hour violations in the construction industry. The operative pleading is the original Complaint, which contains eleven (11) causes of action and a single proposed class as follows: "all non-exempt employees who have or continue to work for Defendants in California from May 7, 2017 to the present."

Before the Court this day is the initial hearing on plaintiff's application for provisional certification of a class, preliminary approval of class settlement, and approval of a PAGA settlement. The gross settlement amount ("GSA") is $170,000.00, which is intended to cover an unknown number of non-exempt hourly employees' claims of at least one of many wage/hour violations. This is a non-reversionary settlement (meaning nothing goes back to the defendant). The proposed deductions/allocations from the GSA are as follows:

Attorney Fees:	$ 59,500.00 (35%)
Litigation Costs:	$ 10,000.00
Administrator Costs:	$ 6,500.00
Service Enhancement:	$ 7,500.00
LWDA share of PAGA:	$ 15,000.00

Based on the proposed deductions/allocations, there should be an average payout per class member of $480.00.

For the reasons which follow, the motion must be continued briefly.

The PAGA Portion – Clarification Required

On a proposed PAGA settlement, the trial court must review and approve the settlement, making sure it is fair to both the LWDA, as well as the employees subjected to one or more of the alleged Labor Code violations. Courts generally look to whether the settlement is genuine, meaningful, and consistent with the underlying purpose of PAGA, to wit: protecting employees, augmenting the state's enforcement capabilities, encouraging compliance with Labor Code provisions, and deterring noncompliance. Some of the factors to consider, subject to a sliding scale, include (1) the LWDA's views, or lack thereof, on the settlement; (2) the likelihood of any discretionary reduction